

 Masterclass Day 19

Mastering Mutual Funds

The superpower of pooled money: SIPs, NAVs, Expense Ratios, and Passive Wealth Building.

The Disciplined Powerhouse: SIP

A **Systematic Investment Plan (SIP)** allows you to invest a fixed amount regularly (e.g., monthly) into a mutual fund.

- » **Rupee Cost Averaging:** You automatically buy more units when the market is low and fewer units when it is high.
- » **No Timing Needed:** Removes the emotional stress of trying to "time the market."
- » **Power of Compounding:** Small, consistent monthly investments grow into substantial wealth over decades.



The Unit Price: NAV

$$\text{NAV} = \frac{\text{(Total Market Value of Assets - Liabilities)}}{\text{Number of Outstanding Units}}$$

$$\text{NAV} = (\text{₹100 crore} - \text{₹5 crore}) / 10 \text{ lakh units}$$

$$\text{NAV} = \text{₹95 crore} / 10 \text{ lakh units}$$

$$\text{NAV} = \text{₹9.50 per unit}$$

Net Asset Value Explained

NAV is the per-unit market value of a mutual fund scheme based on its underlying securities.

$$\text{NAV} = \frac{\text{Total Assets} - \text{Liabilities}}{\text{Total Units Issued}}$$

The Big Myth: A lower NAV (e.g., ₹15) does *not* mean a fund is cheaper or a better bargain than a fund with a high NAV (e.g., ₹150). Returns depend entirely on percentage growth!

The Silent Wealth Eater: Expense Ratio

The **Expense Ratio** is the annual fee charged by the mutual fund company to manage your money.

Why it matters: It covers fund management salaries, research, administration, and marketing.

Even a seemingly small 1% difference in expense ratio can eat away up to 25–30% of your total compounded wealth over a 30-year investment horizon. Always look for lower ratios!



The Commission Split: **Direct vs. Regular**

Direct Plans

You buy the mutual fund directly from the fund house (AMC) or through zero-commission platforms.

The Benefit: Lower expense ratio because no intermediary commission is paid. Over time, this yields significantly higher returns for you.

Regular Plans

You buy the mutual fund through an agent, broker, bank distributor, or financial advisor.

The Catch: Part of your investment goes toward paying distributor commissions, resulting in a higher expense ratio and lower net returns.

Beating the Average: **Index Funds**

An Index Fund is a passive mutual fund designed to mirror the exact performance of a specific market index like the Nifty 50 or Sensex.

- » **No Active Manager:** Instead of paying a fund manager to pick stocks, the fund simply holds every stock in the index in exact proportions.
- » **Rock-Bottom Fees:** Because management is automated, expense ratios are extremely low.
- » **The Reality:** Statistically, over 80% of active fund managers fail to beat simple index funds over a 10-year period!



Trading Like Stocks: **ETFs**



Real-Time Trading

Unlike regular mutual funds that price once a day at market close, Exchange Traded Funds (ETFs) can be bought and sold live all day on the stock exchange.



Demat Required

You must have an active Demat and Trading account to purchase ETFs, exactly like buying shares of Reliance or TCS.



Ultra Low Cost

Like index funds, ETFs track baskets of assets with minimal administrative overhead, giving you instant diversification at rock-bottom costs.

Great Job on Day 19!

Tomorrow: Day 20 - Portfolio Building.

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